



GLOBAL STRATEGIC PLAN

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Table of Contents

	Page
INTRODUCTION AND EXECUTIVE SUMMARY	3
BUSINESS DESCRIPTION	
✓ Market Demand	5
✓ Products.....	5
✓ Expanding Capacity	6
✓ Competition	6
✓ Marketing and Sales	7
✓ Export Strategy	8
INVESTMENT HIGHLIGHTS	
✓ Equity and Valuation	9
✓ Why Are We Raising Money?	11
✓ Use of Funds.....	12
ORGANIZATION	
✓ Management / Board.....	12
✓ Liability and Risk	15
✓ Summary.....	16
Appendices	
✓ Pro Forma Financial Statements.....	17
✓ Intelligent Modeling / Technology Development	19
✓ Why Scotland?	22

Executive Summary

In the summer of 2013, INC Magazine wrote about a new company, Cleveland Whiskey. It was an innovation focused advanced technology manufacturing company that was about to disrupt an industry steeped in tradition. An industry dominated by billion-dollar conglomerates and companies that have not changed their methods in generations. Whiskey “traditionalists” were already calling us heretics.

That was thirteen years ago.

Since then, we’ve sold more than 1,000,000 bottles, distributed in 20 States, exported to both Europe and Asia, and we’ve captured a total of one-hundred and seventy-five (175) medals at competitions around the world, including eighty-five (85) gold, double gold and “best-of-show” awards. We also scaled our production capacity, built out a much larger facility, continued improving our production technologies and were awarded a series of registered trademarks and two U.S. patents.

We also changed our corporate name to Vispiri, an acronym “Visionary Spirits”, and while retaining Cleveland Whiskey for our consumer brands, the market has changed.

Domestic, Canadian, and European demand has plummeted. It is a tough time for the whiskey industry, and alcohol. in general. The data is not yet in for 2025, but in 2024, one out of every 4 craft distillers closed their doors. The big brands have announced major layoffs, and distillery shutdowns. To give you, the reader, context, google “whiskey industry in trouble”.

From the perspective of a relatively small producer, and even before the downturn, the markets were already crowded, dominated by the large brands, and severely limited by available shelf space.

Proactive and purposeful change.

Guided by insights from the *Blue Ocean Strategy*, by W. Chan Kim and Renee Mauborgne as well as visionaries like Seth Godin (Purple Cow) and Malcolm Gladwell (The Tipping Point), we planned ahead by systematically looking for opportunities where our innovations in alcohol production would provide sustainable competitive advantage, free from overwhelming competition.

Finding Market and Opportunity.

Our solution lies in India, the world’s largest whiskey market by volume, which accounts for nearly half of global consumption. Despite the voracious demand for whiskey, selling imported products through traditional channels in India has proven prohibitive for importing producers. High tariffs and taxes, variable shipping costs, and a tangle of bureaucratic barriers make imported whiskey unaffordable for a substantial proportion of India’s 1.4 billion people.

The path forward involves Indian Made Foreign Liquor (IMFL)—a product category that blends imported whiskey with locally distilled spirits. IMFL delivers lower price points for consumers while retaining the allure of foreign whiskey. Regulatory frameworks allow its labeling under generic terms like “American Blended Whiskey” or “Scotch Blended Malt Whiskey,” enabling market accessibility across India, Southeast Asia, Africa, and the Middle East.

Our proprietary technologies uniquely position us to capitalize on this untapped potential. We have developed premium whiskey concentrates that not only significantly lower production costs for IMFL through minimized tariffs, shipping charges, and fees, but also enhance the flavor profile of the resulting blends. This allows us to price under competitive imports while delivering an elevated whiskey experience.

This is our “Blue Ocean”. In late 2022 we partnered with local stakeholders to launch Ella Spirits and Beverages Pvt Ltd (<https://ellaspirlits.in>), an India based marketing and distribution company. Our company holds a 49% ownership stake. By November 2025, following our participation in the Prowine trade show in Mumbai, we secured our first contracts in the IMFL category valued at five crores (+/- \$550,000). This milestone not only solidified our entry into India but also positioned us to expand into Southeast Asia and Africa through IMFL exports.

We are not simply reacting to challenging market conditions; we are driving initiative-taking growth. The foundation of this strategy lies in technology-driven efficiency and innovation. While others are struggling to survive in a contracting market, we are expanding into new markets, scaling groundbreaking technologies, and fueling robust revenue, profitability growth, and equity valuation. Our adaptability, vision, and revolutionary approach to whiskey production is positioning us as a global pioneer in a changing landscape.

.Financial and operating projections are summarized below:

Financial Projections (\$)	2026	2027	2028	2029	2030
Revenue	2,844,000	4,811,650	8,950,171	19,596,582	47,257,057
Cost of Revenue	1,336,680	2,165,243	3,848,574	8,034,599	18,430,252
Gross Profit	1,507,320	2,646,408	5,101,597	11,561,983	28,826,805
Total Operating Expenses	1,068,830	1,822,460	3,262,603	6,236,702	14,332,288
Net Income / Operations	438,490	823,947	1,838,994	5,325,281	14,494,517

Our growth plan is purposely designed into a series of sequential implementation steps to allow for a carefully managed plan of production capacity expansion, technology improvements, revenue growth and a proper alignment of both equity and debt supported by increasing cash flow and expanding markets.

The initial phase, which took place between 2022 and 2025, focused on operational priorities and expanded production, and is supported by \$6.7 million in debt funding. These monies allowed for the purchase of the properties, significant utility upgrades and the partial renovation of two buildings, providing a total of approximately 45,000 ft² of usable indoor space to support immediate production expansion.

The Company is currently seeking up to \$15 million in phased equity funding to aggressively continue capacity expansion, add new international markets, launch next generation process technologies, and build a strategic international presence and production facility in Scotland.

Market Demand

The global whiskey market hit a post-Covid stall in 2023, while subsequent years have seen a reduction in both value and volume sold. Near term forecasts are mixed and vary widely with no real consensus on when the market shrinkage will plateau. Longer term forecasts however remain positive. Valued at \$68.7 billion in 2024, the market is expected to grow to \$94.9 billion by 2031. *Source: Precision Reports 3.6.2024.*

Importantly, there are selected markets including India, Africa, and South-East Asia, where growth continues despite the industry wide slump.

The Indian whiskey market has been experiencing robust growth, driven by rising incomes, growing urbanization, and evolving consumer preferences. Specifically, the CAGR for whiskey in India has been reported to be around 6–8% between 2023 and 2028, with premium and super-premium segments growing even faster.

In Southeast Asia, the market has also seen robust growth, fueled by increasing disposable incomes and the popularity of Western-style spirits. The CAGR for whiskey consumption in this region is estimated to be 5–7% over the same period, though specific market growth varies by country (e.g., stronger growth in emerging economies like Vietnam, Indonesia, and the Philippines).

Although there is a smaller base consumption level, Africa's whiskey market has shown steady growth due to rising middle-class populations and shifting preferences toward premium alcoholic beverages. The CAGR for whiskey in the region is estimated at 5–6%, with markets including South Africa, Nigeria, and Kenya.

Products

For export, we've developed a series of unique and innovative **whiskey concentrates** which are discussed in more detail later in this plan (see **Export Strategy**). We have two complimentary yet distinct product categories with multiple offerings across each category, including extracts derived from both a Bourbon Whiskey and American Malt Whiskey base. As business-to-business (B2B) products, they're delivered in bulk and subsequently blended with locally made neutral grain spirits (NGS) to make the IMFL products.

Flavor profiles of the concentrates are easily adjusted, allowing us to efficiently create and replicate a wide range of custom flavor variations, allowing for the creation of exclusive recipes at higher margins.

For domestic distribution and sale, the company currently stocks multiple whiskey variations on retail shelves along with a number of seasonal, flavored, short run “distillery only” specialties and custom barrel product, including Cleveland® Black Reserve, Bridge and Main, Cleveland Underground, Wheat Penny 1958 Bourbon®, Magic Rabbit® and Christmas Bourbon®.

Although still in the prototype stage, we expect an entry into the low/no-alcohol space which will closely mimic a classic whiskey aroma, flavor, mouthfeel, and overall sensory experience (without the alcohol). Produced with low heat, oxygen enriched, aqueous extraction, and advanced membrane filtration, our technology allows us to create a much closer approximation of premium alcohol-based whiskey flavor profiles than other existing methodologies as represented by the current range of competitive products.

Expanding Capacity

Until recently, demand exceeded our capacity. It wasn't just a shortage of production equipment, but we simply didn't have enough room to store raw materials, which meant more frequent, albeit smaller orders, at higher prices. There are opportunity costs as well, especially with respect to opening new markets, both domestically and internationally. Despite the global downturn, our entry into India, and ultimately into Africa and other multiple Southeast-Asia countries, our production capacity will need to be continually expanded.

The first step was acquiring more space. After an initial lease period, in 2023, we purchased two industrial buildings which gave us 45,000 square feet to work with. After laying miles of electrical cable, rebuilding some walls, adding restrooms and a network of plumbing and drains, we acquired and installed an automated, high speed bottling line, installed our first reverse-osmosis system, and tripled our capacity.

Importantly, we're prototyping our newest generation of production technology which will cut batch production time by over 60%. This alone will significantly boost production throughput with the optional addition of multiple shifts and some limited automation without the CAPEX of adding incremental batch systems. At the same time, we are engineering a version of the new production technology as a plug and play, modular production package with centralized control and monitoring systems for use in multiple locations. We've named the system ACES (Advanced Concentrate Extraction System).

Although the modular system will be built and tested alongside the systems installed at our Cleveland facility, the first use for ACES for commercial extract production will be in Scotland. In order to produce and deliver a malt whiskey that can be legally named a Scotch Whisky concentrate, we plan to open a Scotland based production facility.

See **Appendix: Why Scotland** for an expanded discussion on the economics, the alternatives, and the rationale for this element of our expansion plan.

Competition

Internationally the focus is on India, and subsequent moves into Africa and other Southeast-Asian countries who already purchase IMFL. When it comes to our move into the whiskey concentrate space, our competition isn't from other distillers, but rather from established flavor and fragrance companies including Firmenich <https://www.dsm-firmenich.com/> and International Flavors and Fragrances <https://www.iff.com/>.

Other competitors in this space, all multi-billion dollar conglomerates, include the German company Symrise <https://www.symrise.com/>, another Swiss company, Givaudan <https://www.givaudan.com/>, and Mane Kancor <https://manekancor.com/> in India.

It sounds formidable but we've adapted and refined our proprietary maturation and finishing technology to create a more flavorful extract with a lower cost of production and subsequently lower market pricing. Also, unlike the competition we can do it without chemical stripping or treatment providing all natural and transparent label concentrates.

Not to be overlooked, the Scotch industry also provides bulk Vatted Malt Scotch (VMS) for blending with Indian spirits. The VMS is typically a blend of neutral grain spirits and 3 to 5 year old Scotch whisky. When using VMS, the ratio of NGS to imported whiskey is relatively low. Using our American Malt Whiskey Concentrate allows for a greater proportion of NGS in the blend yet delivers a superior flavor profile. We expect the same advantages with the Scotch Whisky concentrate to be produced in our planned Scotland based facility. Again, lower cost, better flavor, blue ocean.

For our bottled whiskey (non-concentrate), our competition comes from other craft distillers and the full range of large conglomerate players including Suntory-Beam, Diageo, Constellation Brands, and Pernod Ricard. In the past decade, the rate of new entries has intensified the competition for shelf-space, both brick and mortar as well as within e-commerce venues.

Marketing and Sales

Internationally we're selling bulk concentrate to other distilleries, blenders and bottlers. To facilitate the transactions, orders are processed through Ella Spirits, who manages payments, contracts, incoming product and local transport of product to our customers. As we newly enter these markets, we have meetings with buyers, participate in selected trade shows, provide samples for potential customers and demonstrate the financial advantages of using our products versus the competition.

Currently we're testing, in conjunction with our affiliate company, Ella Spirits, the use of joint venture agreements where the buyer (and venture partner) provides start-up financing while we produce the raw materials in bulk and arrange for in-market blending and bottling. The partner is then responsible for distribution, local marketing and sales.

Domestically, it's different, and we start with getting product on the shelves.

Complicated and bureaucratic, regulations and tax rules vary from state to state and distribution in the United States is a time consuming, intensive, and expensive process.

To make it work has always required classic "feet to the ground" sales through distributors, which are followed-up by assertive sales and support, including promotional visits to both on and off-premise facilities, "ride-along" initiatives with the distributor sales reps as well as participation in tasting events at retailers.

It's not just the cost of our staff, but also the extraordinary inefficiency of small volume sales that require on-site visits and face-to-face contact with the designated buyers.

For a small brand it burns through cash much too quickly, so here's our guiding principles and practice:

1. We started just like every other distillery. Focused on getting distribution and retail shelf space EVERYWHERE. It burned through cash much too quickly and it simply wasn't what we wanted to do. As a technology company, we recognize that our brands are, in many ways, vehicles to prove and enhance the equity value of that technology. Accept that premise and we can make do with distribution in a much smaller number of targeted, high margin markets.

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2. Bars and Restaurants. On a bottle-by-bottle basis, they're the most expensive sale to make. While bartender recommendations and on-premise shelf presence were critical before the advent of social media, they are less important today. We choose to be selective, targeting bars and restaurants where the playing field is fair and our brands are served, not just tucked away on a shelf. It's easier to manage and even though we're not in every bar, it's decidedly more profitable.
 3. Given our technology and the ability to produce small batch, niche products efficiently and cost effectively, e-commerce is a natural channel. State-by-state regulations often restrict direct shipping to consumers but that is slowly changing. As active members of both the Ohio Distillers Guild and the Distilled Spirits Council of the United States, we've joined advocacy groups working to get laws changed on a state by state basis.

Once our bottles are on the shelves, what do we do next?

Marketing investments in 2026 are focused and targeted on delivering brand awareness and preference in markets where we have a shelf presence.

We effectively leverage traditional advertising with active social media and systematic engagement with our self-identified customer base through Instagram, Facebook, Twitter, and e-mail. That also includes the activation of a cadre of unofficial brand ambassadors and evangelists from over 1,900 small investors who believe in our company, our vision, and our products.

We also color outside the lines.

Describing us as simply another distillery is a little like comparing Uber® to a traditional taxicab. Take for instance our version of custom barrel programs offered by larger players such as Buffalo Trace, Jack Daniel's, and Angel's Envy.

Our custom blended "barrels" allow retailers, restaurant chains and even individual bulk purchases (i.e., corporations) to customize a blend which includes multiple mash bills and a unique and expanding range of wood finishes including black cherry, sugar maple, apple, and mesquite.

A typical program sale consists of a minimum of ten cases purchased (one case contains 12 - 750ml bottles). The sales process is efficient, and the result profitable.

Export Strategy

We have sold in South Korea, Indonesia, Germany, Switzerland, France, and Spain but without the necessary capacity to fully serve our domestic markets, and oftentimes chaotic and unpredictable tariff policies, in both Europe and Asia, we pulled back on earlier export initiatives to focus on the domestic markets.

Today, however, with the investments we've made to create systematic and predictable capacity expansion, we can not only serve domestic markets better, but we are aggressively pursuing expansion in select international markets as well.

Part of a long-term strategy, we formed a joint venture in 2022 to help us enter the market in India. As both the largest democracy and largest consumer of whisky in the world, India is also a gateway to other Asian, Africa and Middle Eastern markets. Unfortunately, India has some of the highest whisky tariffs in the world and despite relatively recent initiatives to reduce these long-established tariffs, they appear unlikely to change in the foreseeable future.

To legally minimize the impact of the tariffs, a sizable portion of whisky sold in-country is produced as IMLF (Indian Made Foreign Liquor). Typically, a blend of local Indian made grain spirits and either flavors, extracts or foreign- made bourbon or malt whisky.

As one of our on-going research and development initiatives (inspired by inquiries into licensing our technology), we have been able to develop a competitive, scalable, and cost-effective whiskey concentrate that we are taking to market by way of this Indian based joint venture.

The new venture, named Ella Spirits <https://ellaspirits.in> , is 49% owned by VISPIRI Inc (limited by India law). As an Indian based company, it can facilitate necessary government approvals, gain market access and acquire local investment.

Vispiri benefits from the sale of concentrate directly to the venture (exported to India) as well as a share of profits from the IMLF. Our first sales were made late in Q4/2025 with contracts totaling the equivalent of over \$580,000.

In cooperation with Ella Spirits, we've also signed a non-exclusive distribution agreement with I Brands Beverages Pvt. Ltd. <https://ibrandsplc.com/home.php> a leading spirits manufacturer and distributor of spirits in 6,000 retail outlets across 120 cities in India, as well as a rapidly expanding market presence in the ASEAN countries, specifically Cambodia, Vietnam, and Laos.

Equity and Valuation

To calculate a valuation – let's consider some relevant examples over the last decade in terms of how much the company might ultimately be worth at exit, starting first with traditional valuations based on consumer brands.

In 2016, Constellation Brands acquired High West Distillery in a \$160 million deal, at almost 11 times trailing revenue. Although valuations weren't disclosed, in December of 2017, Cuervo acquired the Pendleton whiskies in a deal believed to be worth \$205 million.

In August of 2019, following an earlier June agreement to acquire a majority investment in Rabbit Hole Whiskey, Pernod Ricard announced their acquisition of Castle Brands in a deal valued at \$223 million. Also, in August, Constellation was reported as making an investment in North Carolina based Durham Distillers. This follows an earlier summer investment in Montanya Distillers. Terms of both investments were not revealed.

it was reasonable to assume that the pandemic would, at least in the short term, suppress the rate and number of mergers and acquisitions, it didn't entirely play out that way.

In 2020, the majors closed a number of equity deals that were already in play by Diageo, MGP Ingredients, Constellation Brands, Beam Suntory, and Bacardi.

More recently, in August of 2023, we saw an investment in the Columbus, Ohio based craft spirits producer, Watershed Distillery. Sold to Marussia Beverages, a Swiss producer and international distributor of craft spirits and wines, for an estimated albeit unconfirmed \$115 million which would have valued the company at 16 times trailing revenue. More recently, E.&J. Gallo Winery purchased the Four Roses brand for approximately \$750 million. Reflecting the value of a fully mature brand, with uncertain growth potential, the price paid was a multiple of 4.4 times trailing revenue.

Whether or not we see changes in the rate of additional acquisitions and/or consolidation, our plan is to continue strengthening the company financials, growing our customer base, and expanding our production capacity.

There's more to this than just traditional valuation models.

While valuations based strictly on these measures are positive, we believe that a sizable portion of the value of this company lies in our technology. We expect that any future valuation for Cleveland Whiskey will consider not only the number of cases sold, growth prospects, gross revenue, and EBITDA, but also the impact of our disruptive technology which can significantly change the cost structure, risk profile and capacity constraints of any larger and more traditional spirits manufacturer.

Consider for example the 16.1 million barrels of whiskey currently aging in Kentucky alone (Kentucky Distillers Association, 1/1/2025). That's over 3 billion 90 proof bottles. The cost of maintaining that inventory, waiting for 6, 8, 10 or more years, dealing with evaporative losses (Angel's Share), taxes on every barrel and simply the time value of the investment is enormous.

Our Technology can help.

When demand is increasing, implementation of our technology can rapidly expand overall production capacity. Conversely, when supply exceeds demand, production levels can be quickly reduced or transferred to other spirit products without the carrying cost of larger capital investments and the worries of insufficient inventory levels for future demand.

A technology which enables manufacturers to measurably reduce COGS (manufacturing costs of goods sold), move traditional barrel inventory to finished product significantly faster and dramatically accelerate the new product development process is arguably of more value than anything achieved from near to mid-term brand building.

As an aside, there is no Angel's Share.

Funding to Date.

As background, we've received a total of \$4.5 million in government grants, low interest loans, equity investments and convertible debt. Current outside equity investment totals roughly \$3.1 million plus approximately \$8.8 million in outstanding debt.

The company has actively participated in Regulation Crowdfunding since being authorized in 2016. Our initial round generated \$711,787 at a pre-money valuation of \$8.5 million while a subsequent 2018 round brought in \$814,852 at a valuation of \$14.8 million. In March of 2021, we closed an innovative and arguably unique “whiskey bond”, again through regulation crowdfunding. Rather than equity, the bond enabled the company to raise an additional \$1.2 million in debt, structured as a discount bond, with a 5% interest rate, a six-year maturity, and an option to convert principal and interest into bottled whiskey at maturity. The bond was over-subscribed, and at the time of purchase, bondholders indicated considerable interest in the future whiskey conversion provision which would significantly reduce the “real” cost of the bond.

More recent activity, 2022 through 2024, includes two rounds of commercial and SBA debt (mortgage, construction and operating capital loans) for the purchase of real estate, building renovations and repairs, infrastructure improvements and operating capital for a total of \$6,764,000.

In April of 2025, we conducted a brief 21-day initiative to test current market pricing and assess our stated valuation. Limited to current investors, the test exceeded our expectations with funding that grossed \$303,786 from 172 investors, at a \$39.2 million valuation. Later in the same year, and for a limited time, we reopened the round for investors who had missed the previous short window.

This round bumps the valuation to \$43.8 million in valuation due to both our expansion into India and a considerable increase in both private and public investment to upgrade our community “neighborhood” <https://clevelandmagazine.com/articles/bedrock-looks-to-expand-riverfront-holdings/>. The result of this investment will be a significant increase in visitors looking for both entertainment and experience. Perfect for a Cleveland “Destination” Distillery.

Why are we raising money?

With past investment, we’ve made considerable progress toward expanding our production capacity, but we will need more. Ella Spirits, our India venture, is expected to rapidly consume significantly more than our existing capacity. That’s a good thing, and we’ve planned for it.

We’ve acquired the additional space, built out a high-capacity utility and support infrastructure, purchased new equipment, and invested in the development and testing of incremental improvements in our production process systems. This provides the framework and a number of the operational components for flexible and more substantial scale-up.

This means (1) we’re building more domestic production capacity at our existing site, (2) adding both capacity and a new concentrate product line to better capture the market with an expansion of our production systems into Scotland, (3) preparing for the expected influx of visitors to the Cleveland Distillery by completing renovations and adding building features, and (4) building the necessary soft infrastructure that includes human resources to actually get things done, not just in operations but in sales, marketing, and finance.

With a significant competitive advantage due to lower COGS, improved margins, lower risk, better cash flow and rapid scalability, it will allow us to aggressively increase both domestic and international revenue. Not coincidentally, this will also mark us as a viable and valuable prospect for acquisition.

How Much Do We Need?

We're seeking a phased funding initiative to total \$15 million at a pre-money valuation of \$43.8 million. Our next steps will be to (1) continue the expansion of production capacity through process efficiency, development of modular systems and installation of additional equipment, (2) acquire and make ready a production facility in Scotland (3) finish repairs and improvements to the buildings we've acquired in Cleveland, (4) recruit, train and make productive the staff necessary to both support production and the necessary sales, marketing, and administrative functions within the company, and (5) provide the operating capital necessary to support fast and aggressive growth.

Sources of capital include a Series E Regulation CF round, with both accredited and non-accredited investors, private equity, strategic partners and growing internal cash flow which would allow for additional debt if necessary.

Use of Funds:

1. MADE IN SCOTLAND (MIS) INITIATIVE. \$5.5 million, which includes an estimated \$2 million for acquisition of an operating distillery, property and buildings, \$2.25 million for the cost to build, ship and install a modular production system (ACE), \$750K for site improvements and upgrades, and \$500K for pre-operational operating capital, legal assistance, permits, production materials, staff and training.
2. PRODUCTION EXPANSION. \$4.3 million for increases in production capacity, as well as a new layer of automation and systematic technological improvements. This would include utility and building infrastructure upgrades at both 601 and 501 Stones Levee (Distillery Campus).
3. OPERATING CAPITAL. \$3.6 million for production material inventory including grains, distillate, barrels/storage, and packaging. Additional operating capital is to be used for the recruitment, training, and deployment of additional staff in sales, marketing, finance, and administration. This may include refinancing and/or payoff of selected high interest debt.
4. MARKETING AND SALES. \$1.6 million allocated to forward leaning marketing and sales initiatives, including personnel, at both an international and domestic level.

The actual numbers associated with this planned use of funds, are subject to change and reapportionment based on the timing of funding, phased implementation, and operational priorities.

Management

Serial entrepreneur **Tom Lix** is Cleveland Whiskey's founder, and CEO. He was the President and Chair of application services provider Public Interactive® which he founded in 1995 (acquired by National Public Radio®) and the former President of Market Pulse™, a Cambridge-based database software company and subsidiary of Computer Corporation of America.

Previously, he was President/Chief Operating Officer of Connecticut based Yankelovich Partners (merged into futures group Kantar <https://www.kantar.com/north-america>) where he consulted for leading food, beverage, hospitality and entertainment companies.

The list includes, among others, Guinness PLC, Proctor & Gamble, H. J. Heinz Company, Unilever, PepsiCo, The Clorox Company, Burger King, Harrah's Entertainment, and the InterContinental Hotel Group. In addition, Lix has consulted to leading media companies and brands such as HBO®, *Time* magazine, and MTV Networks; travel and transportation companies including American Airlines, Amtrak, and Northwest Airlines (now Delta); as well as service delivery and technology innovators that included American Express, FedEx® and Visa. More on LinkedIn <https://www.linkedin.com/in/tomlix/>.

Johanna Barnowski, Marketing Director, brings a dynamic and innovative approach to both this company and the overall spirits industry. Prior to joining Cleveland Whiskey, she held a series of positions in public relations, marketing, and fundraising for innovative projects across multiple industries and countries. With experience in both cutting-edge technologies, and digital marketing, Johanna has brought a fresh and strategic perspective to Cleveland Whiskey's presence in the market, with creative narratives that resonate with both whiskey enthusiasts and curious newcomers. A versatile problem-solver, and inspired cocktail designer, Johanna holds a degree from the University of Akron and is certified as a Digital Marketing Professional by the Digital Marketing Institute and as a Professional Certified Marketer (PCM) in Digital Marketing by the American Marketing Association.

Don Coffey, Chief Science Officer, is also a member of our Board of Directors. Most recently he was the Chief Technology Officer for EDGE Ingredients, LLC, an ingredient company supplying clean label products to the food and beverage industries. Previously, Don was Executive Vice President of Research, Development, and Innovation at MGP Ingredients, a leader in whiskey, neutral spirits, and gin manufacturing in the U.S. He also held research and commercial leadership roles at The Dow Chemical Company. Don earned his PhD in Food Chemistry from Michigan State University and recently, on a 55-day, 2,927-mile adventure, rode his bicycle cross-country. <https://www.linkedin.com/in/doncoffey/>

Andrew Lix, eldest son of company founder Tom Lix and former high achieving Quicken Loans Banker. Andrew holds the position of National Sales Director and is responsible for all revenue generating activities as well as the leadership of the Cleveland Whiskey sales team. He's held various sales and marketing positions since joining the company in late 2012, only a few months before the company shipped its first bottles. Andrew has a Bachelor of Science degree in Finance from the University of Massachusetts and is one of only a handful of diehard Boston Celtics and New England Patriots fans living in the Cleveland metropolitan area.

Jim Waltz, Distillery Manager, first worked at Cleveland Whiskey in its formative years from 2012 through 2015. He returned in 2024 after working as the Head Distiller at Southern Tier Distilling Company and Brewer at Forest City Brewery. Formally trained in Viticulture and Enology, his earlier experiences were as a vineyard manager and winemaker. A strong leader and versatile problem solver, Jim brings new perspectives on both fermentation and flavor science to Cleveland Whiskey which allows the company to continue bringing new, and often revolutionary, ideas to the whiskey manufacturing process. Jim has a degree in Management from Kent State University and graduated from the specialized program in Viticulture and Enology at Surry Community College in Dobson, North Carolina.

Outside Directors

Kevin Cash (Chair) is currently the Chief Financial Officer at Benesch, an International law practice with more than four hundred attorneys in cities ranging from Cleveland and New York City to Chicago, San Francisco and Shanghai. Previously he was the Chief Operating Officer for Wilson Elser (Wilson Elser Moskowitz Edleman & Dicker LLP), a \$400 million law firm with forty offices throughout the country. Prior to Wilson Elser, he was the Chief Financial Officer at Pierce, Bainbridge, Beck, Price & Hecht LLP, a start-up Law Firm with over seventy attorneys in New York, Los Angeles, Boston, Washington DC and Cleveland. In addition, Kevin is the former Chief Financial Officer at Orrick, Herrington & Sutcliffe LLP and Baker & Hostetler, LLP as well as an Advisory Services Partner at Ernst & Young. Kevin holds credentials as a Certified Public Accountant (CPA) and Diplomat of the American Board of Forensic Accountants (DABFA).

Matt Fish is the founder of culinary consultancy Controlled Chaos, and formerly the owner and founder of Melt Bar and Grilled Inc, the beloved Cleveland based gourmet grilled cheese restaurant and brand. Melt grew and expanded to 13 locations both locally and regionally from 2006-2024. The brand earned many accolades and awards during its 18-year history, including appearances on *The Today Show* on NBC, *Diners, Drive-Ins & Dives* on The Food Network & *Man vs Food* on The Travel Channel.

Melt Bar and Grilled was voted the best restaurant in Cleveland in both 2012 & 2013. In 2015 Matt was named the Ohio SBA Small Businessperson of the Year and was a finalist for the national award. With a degree in Culinary Arts and Restaurant Management through Cuyahoga Community College, Matt worked his way up through many notable kitchens in Cleveland. Matt is also an avid music fan and talented drummer. He spent 15+ years touring nationally and internationally with multiple bands and released several albums on notable record labels. He still plays music with his band, continuing to write and release new material, and is in the process of opening his next restaurant venture.

Sue Stabe is the co-founder of Long & Short of It, a brand development and marketing strategy agency. Known for her energetic and inquisitive nature, Sue has over 20 years of experience driving business forward through brand development, strategic planning, product development, and market research across both for-profit and non-profit organizations. She has collaborated with notable clients such as Ideastream Public Media, University Hospitals, Tremco, Joann, and Sherwin Williams.

Previously, she managed marketing research and strategic planning teams at KeyBank, American Greetings, and Adcom. Sue holds a BBA from Miami University, an MBA from Kent State University, and is a graduate of the Goldman Sachs 10,000 Small Businesses Program. Additionally, she is an inaugural and active member of CLEO, a networking and professional development organization for women in business.

Laura Hudak is the Vice President, Finance and Administration at TEAM NEO, a regional economic development organization headquartered in Cleveland, and responsible for overseeing financial and business operations. Previously, Laura was a senior manager at Deloitte where she focused on information systems and internal controls audits and was instrumental in leading regional HIPPA activities for the healthcare industry as well as a national facilitator of Sarbanes-Oxley regulations.

Prior to Deloitte, Laura spent 11 years at Ernst & Young, working in the Cleveland, National and London offices where she focused on financial services, manufacturing and health care industries in both Ohio and Michigan. Laura is a Certified Public Accountant. She is Chair of Holy Name High School and the Alumni Board of the Cleveland Animal Protective League. Laura is a proud graduate of Kent State University majoring in accounting, computer science and business management.

Liability and Risk

While we might assert that the Cleveland Whiskey business has no more risk than a typical manufacturing facility, there are potential liabilities associated with employees, contracts, distributors, and customers as well as political and financing entities. We can classify the risk and liability categories into four distinct groups, specifically (1) Manufacturing Risk, (2) Market Risk, (3) Financial Risk, (4) Regulatory Risk, and (5) Pandemic Risk.

Manufacturing Risk is attenuated with adequate insurance as well as the implementation of safety protocols to ensure that safety and health standards are adhered to. In addition, and common to brewing, winemaking and distillery operations, adherence to a clean production environment and quality standards associated with the product(s) is required. Established formulations and operational procedures are required to ensure consistent quality and limit unscheduled downtime.

Market Risk is always something to consider but it can be managed and minimized with effective and ongoing consumer research, product testing and evaluation, diversity of product lines and brands brought to market, supply chain analysis, competitive intelligence and productive sales and marketing initiatives.

Financial Risk, whether it is unexpected deviations from plan, cash flow variations, interest rate, tariff rates and currency fluctuations, and raw material rate increases, all contribute and yet can be managed. The risk is always present, however good management in the form of financial controls and information systems, fiscally conservative leadership and well-planned growth strategies can and should minimize overall risk.

Regulatory Risk applies to changes in administration policy, legislation and rule interpretation at the federal, state, and international level. Cleveland Whiskey is an active member of the Ohio Distillers Guild, the American Craft Spirits Association, DISCUS (Distilled Spirits Council of the United States) and the American Distilling Institute which helps us to leverage our influence appropriately. Additionally, the company has engaged counsel and consultants to assist navigating areas where in-house knowledge is insufficient.

Pandemic Risk. The future will require flexibility, agility, creativity, and the willingness to adapt and change our business model, as necessary.

Summary

At our core, we are a technology company. A technology company that challenges traditional whiskey production and disrupts established industry business and financial models.

Our approach is having a significant impact on the existing cost structures associated with whiskey manufacturing, both domestically and on an international level. Reductions in inventory risk, no Angel's Share, cost effective and systematic incremental product improvement and a manufacturing platform that not only speeds production but allows for faster, more efficient, and more productive innovation.

With the investments we've made in scaling capacity and building out the physical infrastructure, we're entering a new and exciting time with opportunities for considerable revenue growth in both domestic and export markets. It's an exciting beginning to what we believe will be an accelerating revenue growth period for the company.

This plan outlines our vision for the future and the funding requirements to continue expansion, deliver on revenue forecasts and sustain profitability which will build significant value and equity in the Company.

For additional information, contact:

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APPENDIX: Pro-Forma Financial Statements

Financial Projections (USD \$)							
			2,026	2027	2028	2029	2030
Revenue							
Alcohol / Domestic			1,769,000	2,388,150	3,200,121	4,640,175	7,609,888
Alcohol / Export			830,000	1,909,000	4,772,500	13,363,000	37,416,400
On-Site			245,000	514,500	977,550	1,593,407	2,230,769
Total Revenue			2,844,000	4,811,650	8,950,171	19,596,582	47,257,057
Cost of Revenue							
Total Cost of Goods Sold			<u>1,336,680</u>	<u>2,165,243</u>	<u>3,848,574</u>	<u>8,034,599</u>	<u>18,430,252</u>
Gross Margin			1,507,320	2,646,408	5,101,597	11,561,983	28,826,805
Margin Percentage			53%	55%	57%	59%	61%
Selling Expenses							
Wages and Commissions			170,547	358,148	823,740	1,894,603	5,115,427
Distribution Costs			123,830	167,171	224,008	324,812	532,692
Other Selling			48,310	86,957	156,523	313,046	626,093
Total Selling Expense			342,686	612,276	1,204,272	2,532,461	6,274,212
			12%	13%	13%	13%	13%
Marketing Expense							
Wages and Commissions			321,720	482,581	723,871	1,085,806	2,714,516
Media and Materials			131,335	262,670	577,874	1,444,685	3,611,713
Total Marketing Expense			453,055	745,251	1,301,745	2,530,491	6,326,228
			16%	15%	15%	13%	13%
General and Admin Expenses							
Wages			214,087	374,652	618,175	958,171	1,389,349
Other			23,622	42,519	74,409	122,775	190,301
Federal Excise Taxes			35,380	47,763	64,002	92,804	152,198
Total G&A Expenses			273,089	464,934	756,587	1,173,750	1,731,848
			10%	10%	8%	6%	4%
Interest Expense			(564,078)	(492,923)	(461,156)	(423,717)	(391,491)
Total Operating Expenses			1,068,830	1,822,460	3,262,603	6,236,702	14,332,288
Income from Operations (loss)			438,490	823,947	1,838,994	5,325,281	14,494,517
Net Income			(125,588)	331,024	1,377,838	4,901,564	14,103,026
Net Margin				7%	15%	25%	30%
EBITDA			438,490	823,947	2,300,150	5,748,998	14,886,008

Operating financials may differ from the projections depending upon execution of the business plan, including but not limited to, the amount of funds raised, deployed, and allocated (capital expenditures or deductible expenditures) and the application of GAAP.

Financial Statement Notes

Revenue. Production capacity increases coming on-line in the second and third quarter of 2025, we are already seeing the impact of additional capacity brought on-line and expanding distribution and sales initiatives, including the pursuit of business-to-business customers. Primary markets, outside Ohio, are States where we have been on allocation and/or off the shelves due to limited capacity. Those markets include Texas, North Carolina, South Carolina, Massachusetts, New Hampshire, and New Jersey.

By mid-2027, non-alcohol revenue begins to include the release of Non-Alcohol branded spirits sold both on-site and in selected markets. Those increases continue into 2028 where we also see the first “food service” revenues with the opening of event space and on-site food service.

We also expect to see significant and steady increases in the sale of extracts for IMFL (Indian Made Foreign Liquor) which is sold in bulk 1000-liter containers. The forecast for export revenue from extracts in 2026 is approximately \$860,000 with the amount more than doubling in each successive year. By 2030, our extract business should provide annual revenues in excess of \$37 million representing over 75% of company revenues.

By 2030, we are annually producing and selling almost 367,000 industry standard 9-liter cases (3,296,00 liters) with distribution rapidly increasing in India, Africa and South-East Asia. On-site revenue now includes limited release of no/low alcohol products, modest food service revenue, as well as expanding tour and event revenue. To put the 367,000 case number in perspective, note that in 2025, Angel’s Envy sold an estimated 330,000 cases. In 2015, they sold 65,000.

Cost of Goods Sold. The primary driver which moves margin from 53% in 2026 to 61% in 2030, is the allocation of fixed costs over higher sales revenue. Simply put, it is about efficiency and the distribution of fixed costs divided by a larger denominator. Those costs, including operations labor which will be increasingly automated, overhead and building costs expand at a much lesser rate than revenue growth. With expanded storage space now available, and increasing cash reserves, we will also realize savings through bulk purchasing of production and packaging materials.

Selling Expenses. It takes investment to achieve the rapid growth we are forecasting in this plan. Selling costs, as a percentage of revenue average approximately 13%, a reasonable number given the expense of expanding the distribution footprint, including international. Costs include staffing (wages and commissions), travel expenses and allowances, sampling expenses, and distributor commissions.

Marketing Expenses. Wages and costs for both the internal team and necessary consulting staff. Headcount increases are consistent with workload and associated with requirements to move product off the shelves. Media and materials include paid media, public relations expenses, social media initiatives, trade-show costs, travel expenses, printing, and other marketing related materials. Expenses drop from 16% to stabilize at an estimated 13% of revenue in 2030.

General and Administrative. Wage increases allow for the recruitment and retention of a finance and administrative team for logistics, purchasing, accounting, and finance, to support the expected growth of the company. Additional monies are budgeted for outside consulting for finance, taxes and legal. Note that Federal Excise Taxes are paid on gallonage produced and shipped offsite.

Interest Payments. Includes all interest from mortgage, operating capital, and other short-term debt loans. Note that some debt may be refinanced, if advantageous, to reduce interest costs.

APPENDIX: Intelligent Modeling / Technology Development

Artificial Intelligence is seemingly part of every business plan for high growth / high value initiatives. As a company focused on technology-based innovation we could, of course, weave in a reference to AI without much of a stretch.

But there is more to this than buzzwords and using trendy tools without a clear understanding of how they work and how they can be appropriately applied. The data used to drive process decisions is in many ways the most important part of any predictive model, whether it is generated by artificial or human-based intelligence.

A key competitive advantage is our ability to rapidly collect accurate empirical data which allows us to identify production patterns and build on existing process models and equations. This, in turn, facilitates an almost real-time sequential series of process improvement cycles which is assisted by evolving AI models

The result is that what we make today is quantifiably better than what we made six months ago, It's a continuous, data driven process improvement cycle that not only improves customer forward variables such as aroma, taste, and color, but also production speed, energy efficiency, overall sustainability and man-power requirements,

Alcohol : Finished Whiskey

Existing producers of whiskey are stuck with tradition. Using time and seasonal change, coupled with clear spirits and often expensive and hard to source oak barrels to age whiskey, producers have created their own constraints. An aging process which takes anywhere from 6 to 12 years.

The whiskey must be continually absorbed into and released from the oak pores to both subtract undesirable flavors and add the desirable ones. Changes in temperature facilitate the process by altering the molecular motion of the fluid, improving flow along surface areas, and facilitating pressure changes within the container itself. In traditional practice, this is a natural occurrence with daily temperature differentials changing pressure in the barrel.

The Cleveland Whiskey pressure-aging process combines a significant increase in surface area, while also dramatically accelerating the cycle of temperature and pressure change associated with the aging of whiskey. Increasing the frequency and range of pressure differentials within a controlled oxygenated environment dramatically speeds the "traditional" maturation process. It can also be applied to other "barrel aged" products including tequila, rum, gin, Chinese Baijiu and others with a variety of non-traditional woods such as black cherry, apple, mesquite, hickory, pecan and others.

During our 2012 pre-production phase, we conducted a series of controlled experiments using our newly developed pressure-based maturation system. With each run independently tested, analyzed and profiled using gas chromatography/mass spectrometry technology and pattern recognition procedures (*J. Agric. Food Chem.* 2006, 54, 1982 - 1989: "Supervised Pattern Recognition Procedures for Discrimination of Whiskeys from Gas Chromatography/Mass Spectrometry Congener Analysis").

Analysis for the preproduction samples was outsourced to Kentucky based Brewing and Distilling Analytical Services (to insure both accuracy and results verification/credibility). As part of the analytical process, test profiles were compared to a series of known control samples (traditionally aged spirits based on identical pre-barrel inputs) as well as other “branded” products. Each subsequent experimental wave further defined which of the test batches proved closest to the profiles and parameters of the control samples.

The results of our pressure-aging and flexible maturation process have been incredibly successful. Our ability to rapidly experiment, incorporate continuous improvements and develop aromas and flavors outside the limits of traditional production has been demonstrated not only in blind taste tests, but with a string of awards and medals at competitions around the world.

The company maintains a series of carefully guarded trade secrets associated with the process and has been issued United States Patent 8,889,206 and United States Patent 10,369,719.

Alcohol : Whiskey Concentrate

The intellectual property related to the production of our whiskey concentrates is protected as company trade secrets. The process has been developed as an extension and refinement of the core pressure aging process protected under the United States patents held by Vispiri INC DBA Cleveland Whiskey.

Unlike competitive extracts, the process does not require chemical flavor stripping or lengthy barrel aging of the raw concentrate materials. This reduces cost and delivers a product without additives or any chemical adulteration.

Non-Alcohol

In addition to the research and development associated with whiskey and other spirit finishing processes, an evolutionary variant is being utilized for the prototyping of a unique process for non-alcoholic spirits, specifically those spirits with the expected flavors and aromas associated with various whiskies.

As background and to provide some perspective on the significance of our process, the following outlines the existing methodologies associated with the production of low/no alcohol whiskey.

There are currently three basic categories, as follows:

- **Distillation and Removal of Alcohol:** Although a lengthy and energy intensive approach, a common methodology for alcohol removal starts with traditional whiskey production including grain fermentation, distillation, and barrel aging. To remove the alcohol, there are a series of techniques, including vacuum distillation, reverse osmosis (membrane filtration) and/or spinning cone column low temperature distillation. Note that experimentation with specialized yeasts or fermentation techniques are being evaluated to minimize alcohol production while still achieving the requisite flavor parameters.

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- **Flavor Extraction and Blending:** Instead of the traditional distillation process, this method focuses on extracting the flavors and aromas from grains, such as barley, corn, rye, or wheat, which are commonly used in whiskey production. Techniques like maceration, steeping, or using food-grade solvents can be used to extract these flavor compounds. Once extracted, these flavors are blended to approximate a whiskey-like product.
 - **Flavoring and Aromatization:** Some non-alcoholic whiskey alternatives rely on flavoring and aromatization techniques to mimic the complex taste and aroma of whiskey. By using a combination of natural and artificial flavorings, along with spices, herbs, and other aromatic ingredients, manufacturers attempt to replicate the whiskey flavor profile however, unlike the previous “Flavor Extraction and Blending” and “Distillation and Removal” methodologies, the resultant “whiskies” from this approach often veer significantly from traditional sensory expectations.

With elements of each of the three current and primary methodologies used for non-alcoholic spirits (Distillation and Removal, Flavor Extraction and Blending, and Flavoring and Aromatization), integrated with proprietary oxygenation and pressurization, the process has successfully generated a series of promising prototypes which closely mimic premium whiskey aromas, flavor, mouthfeel, and overall sensory experience. Without alcohol.

Given the proprietary nature of the research and plans for market entry, specifics of the non-alcohol process are carefully guarded trade secrets which supplement and expand on existing and anticipated future patents held by the company.

APPENDIX: WHY SCOTLAND?

In late 2025, VISPIRI INC dba CLEVELAND WHISKEY, an advanced technology based whiskey distillery, sold its first international contract for its proprietary whiskey concentrate. The company holds two United States patents and a series of protected trade secrets/

The concentrate is specifically designed for India, the world's largest whiskey market. More specifically, it's made for the Indian Made Foreign Liquor (IMFL) market whereby blending imported whiskies and Indian made neutral grain spirits, and affordable yet surprisingly palatable whisky product is produced for and sold to the largest segment of the overall Indian market. A market currently worth as much as \$20 billion and, unlike the industry in the United States and Europe, growing at a compound annual of 8% to 12% expected over the next 5-7 years. This compares to the value of whiskey sales in the US, which is estimated to be in the range of \$17 to \$18 billion,

Three years prior, anticipating this breakthrough, the company had jointly formed a Delhi based distribution, sales and whiskey blending company, Ella Spirits and Beverages Pvt Ltd. The purpose was to help cut through red-tape and bureaucratic hurdles while developing the framework for a network of joint-venture whiskey blenders and product creators.

Now, in 2026, Cleveland Whiskey is producing both Bourbon and American Malt Whiskey concentrates and, through Ella Spirits, acquiring bonded storage facilities, creating working partnerships with distributors, and building a sales network. Although still in its early stage, it's already been a game changer for Cleveland Whiskey, and these products alone can help take us to over \$47 million in annual revenue by 2030.

And yet, we're missing something. Something important.

The market wants Scotch.

Although in many cases, a concentrate produced from American Malt Whiskey and Scotch whiskey might be indistinguishable, the fact remains that unless we produce the original whiskey in Scotland, it can't be called a Scotch Whisky, nor can our concentrate be considered a product produced from Scotch Whisky.

In our target markets of India, South-East Asia and Africa, Scotch Whiskey is preferred over American Bourbon and American Malt Whiskey is a relative newcomer. To more fully capture this market, we need to expand our current line with the addition of a Scotch Whiskey concentrate.

Here's Why.

In India, an estimated 37.8 million liters of Scotch Whiskey is consumed annually. In contrast, the aggregate consumption of Bourbon and American Whiskey in India is less than 8.5 million liters, only 18% of the combined whiskey consumption (excluding IMFL).

The total whiskey market is however dominated by IMFL, with an estimated 2.7 Billion liters consumed on an annual basis. The preference for Scotch is even more significantly demonstrated in this category with virtually all of it produced through a blending of 3 to 5 year old Scotland produced malt whiskey and Indian made Neutral Grain Spirits. The amounts of Scotch blended for IMFL are not included in the 37.8 million liters previously indicated.

Clearly, the market wants Scotch.

There are no technical hurdles, we just need Scotch Whisky as a base for the production of concentrate. We could do that in two ways.

First, we can import bulk Scotch to our facility in Cleveland, then process it here for subsequent shipping to Ella Spirits for sale and distribution.

The second, preferred and selected option is to create a processing facility in Scotland. It will cost us less, allows for better profit margins, and with the ability to clearly identify the origin of the product as made in Scotland, without the confusion of being processed in America, will help us sell more.

Why and how will it cost less?

Let's look at an example.

- Using bulk sea freight (FCL: Full Container Load, 20-foot container). A standard ocean freight 20 foot shipping container holds 18 - 1,000 liter intermediate bulk containers (IBC's).
- Shipping from Glasgow (likely Port of Greenock or Grangemouth) to a port near Cleveland has an estimated cost of \$4,500 to \$7,500 depending on seasonality, fuel rates, and demand fluctuation.
- Inland transport costs from a U.S. port (East Coast, such as New York or Norfolk, or Gulf of Mexico and intermodal to Cleveland via rail or truck will cost an estimated \$1,500 - \$3,000, again with seasonality, fuel costs and demand fluctuations. Port Fees and Handling Charges (offloading fees, harbor maintenance fees, merchandise processing fees, and customs clearance) will add an additional \$1,500–\$3,500.
- Import Duties, and Tariffs: Currently, the standard Most Favored Nation (MFN) import duty rate for Scotch whisky (under HTS code 2208.30 for whiskies) imported into the United States is 0%. As historical context, note that from October 2019 to March 2021 (and later extended), there was an additional 25% *ad valorem* (based on the value of the goods) tariff imposed on Scotch whisky as part of a trade dispute. This additional tariff has since been suspended. So, as of now, the extra 25% duty is not applied. This does however indicate a risk factor in the cost modeling process.
- Excise taxes are levied on imported spirits and currently calculated at \$13.50 per proof gallon, although there are reductions in this rate when the annual volume of imports is less than 100,000 proof gallons. At 120 proof or 60% ABV, 18,000 liters converts to 5,706 proof gallons. The excise tax for this shipment would total \$77,031. When aggregate annual shipments are below 100,000 proof gallons the cost per FCL shipment may be as low as \$15,406. Furthermore, there are also potential claw-back provisions which may apply, further reducing the cost per FCL shipment to \$5,706. Based on available information it is expected that continued shipments of Scotch Whisky into the United States, with FCL volume of 18,000 liters at 60% ABV, would run \$77,031 per shipment.

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- Insurance costs typically range from 0.15%–0.50% of the total shipment's value. For a shipment of 18,000 liters at a value of \$5.00 per liter, the shipment value is \$90,000. Insurance cost could range from \$135 to \$450.

In total, the estimated cost for a shipment of 18,000 liters from Glasgow to our facility in Cleveland would range from a low of approximately \$84,000 to a high of \$91,500 for each shipment. This assumes the excise tax rate of \$13.50 per proof gallon, and that imports of distilled spirits from the U.K. remain duty-free.

The cost of shipping from Cleveland to ports in India, as well as the customs and processing fees have not been factored into these calculations since those fees would be incurred irrespective of whether the product was produced in the United States or passes through here for processing. Costs of production also have not been factored in since they would essentially remain the same whether production was conducted in one location or two although it could be argued that there is additional labor cost associated with multiple IBC tote fill and empty cycles as well as shipping container loading and unloading.

Import tariffs, however, are a real and significant factor considering the cost/benefit of opening a Scotland based facility for whisky concentrate production.

There have been recent tariff reductions on Scotch whisky imported into India, as part of the UK-India Free Trade Agreement (or CETA) signed in 2025 and expected to be implemented in April 2026. This deal reduces the import tariff on Scotch whiskey from 150% to 75% initially, with further reductions to 40% over the next decade.

In February of 2025, an agreement was reached which reduced the total import duty (including import tariffs, basic custom duty and agriculture infrastructure development fees) on American Bourbon whiskey from 150% to 100%. The reduction applies specifically to Bourbon whiskey (HS codes 2208 3011 and 2208 3091), while other foreign spirits, including American Malt whiskey would remain subject to a 150% duty.

Note that historically, the tariff on Scotch whisky imported into the United States has ranged from a high of 25% (2019) to its current state where these imports are duty free.

As it stands, Scotch whisky imports into India, maintain a 25% tariff advantage over American Bourbon and a 75% advantage over American Malt whiskey (including derivative concentrates). These differences have significant impact on the cost and pricing of the concentrate products to customers in India.

A FCL shipment of 18,000 liters with a declared value of \$5 per liter would incur import tariffs into India as follows: (1) on Scotch Whisky, shipped from Scotland, \$67,500, while (2) the same "Scotch" processed in, and subsequently shipped from Cleveland, would incur tariffs of \$135,000. Double the cost of shipping from Scotland.

Bottom line, the incremental costs of sending distillate from Scotland for concentrate production in the U.S., and then shipping it to India, range from approximately \$151,500 to \$159,000 per FCL. That adds \$8.42 to \$8.83 per liter in incremental cost.

What about the cost of having a facility in Scotland?

There are an estimated 140 operational whiskey distilleries producing Scotch Whisky. Of that number it's reported that as recently as December, in 2025, there were 69 distilleries in Scotland that were facing "significant or critical" financial issues. This drives purchase prices down and would likely allow for a manageable turnkey price with all permits for production and sales in place.

The expectation is that with funding, we'd target a relatively small production volume distillery with room for expansion. The brands, unless well known, would not be a necessary part of the sale, nor would any significant tourist activity add value to a purchase, Focus would be on production space. Estimated cost to acquire, \$2 million.

We would ship a modularized technology package consisting of 6 production units capable of up to 842,517 liters of Scotch Whisky Concentrate with an expected annual sales value of \$12.6 million USD. Additional technology packages can be provided as growth necessitates. The estimated cost to build, ship, install, and train staff would be approximately \$2.25 million. Utility upgrades on-site would be budgeted at an additional cost of \$750,000. Add another \$200,000 for permits, fees, legal, and other professional fees, plus \$300,000 for contingencies. Total investment \$5.5 million.

Payback on this, based solely on the estimated average incremental cost of \$155,250 per 18,000 liter FCL shipment, would be 32.2 containers. The total of 579,600 liters delivered is less than 2/3rds of the annual production capacity once fully deployed.

Staff costs and other COGS are not factored into the analysis since equivalent staffing and materials would be required in the Cleveland facility to manage the incremental production associated with the Scotch Whiskey concentrate.

In summary, by opening a production facility in Scotland, we build capacity for an expected additional \$12.6 million in annual revenue and eliminate incremental charges associated with shipping product from Scotland to Cleveland. At full capacity, considering all of the incremental costs ranging from excise tax to tariffs, the annual saving is approximately \$7.3 million.

Supplemental Note:

Another option under review is designating part of our existing distillery as a Free Trade Zone. If properly structured and approved by the Department of Commerce Foreign-Trade Zones Board, this could eliminate excise duties on imported Scotch whisky and malt distillate. The product could then be processed into concentrate and shipped overseas without incurring excise tax liability.

If approved, this could significantly reduce the investment required to add a Scotch whisky-based concentrate to our product line. We are currently researching the option to confirm its feasibility and financial impact. If it proves viable and economically beneficial, we will incorporate it as a tactical shift aligned with the strategic plan outlined in this document.